INVESTMENT COMMITTEE MEMO

Cameco Corporation

NYSE: CCJ / TSX: CCO - the West's tier-one uranium producer and 49% owner of Westinghouse: a great asset base, but priced for a recovery that 2026 has not yet delivered

RECOMMENDATION: HOLD (EVENT WATCHLIST)

12-MO TARGET: US$76 (-1%)

Reference price US$76.91 (30-Oct-26)	52-wk range US$73.89-135.24	Mkt cap US$33.5bn / C$46.2bn	Net debt C$0.14bn (Sep-26)
Dividend C$0.24 (0.2% yield)	Largest holder BlackRock ~5% [u]	Ownership cap 15% / 25% (ENL Act)	Buy below ~US$60

Prepared for Investment Committee review | 3 November 2026

~23x

FY27E EV/EBITDA (ours); ~52x FY27E P/E. Uranium peers ~9x; nuclear-services peers ~26-32x

US$10bn

Our base value for the 49% Westinghouse stake (~30% of market cap); IPO filed confidentially Jul-2026

US$75

Probability-weighted value (-2%): bull US$111 / base US$76 / bear US$39

RECOMMENDATION

Hold: tier-one assets and a Westinghouse option, but no margin of safety at US$77

C$0.00	US$96.50	-43%	US$76	25%
Q3-26 adjusted EPS vs ~C$0.32 consensus; first adjusted loss in 8 quarters	Term uranium price (Q3-26), an 18-year high; spot US$89.63	Share price vs the 28-Jan-26 high (US$134.10); P/NAV ~1.3x vs 2.3x in Feb [d]	12-mo target (base, -1%); bull +44% / bear -49%	Bear-case probability: operations, contracting stall, Westinghouse slip

The case for owning it

- **Scarce assets:** McArthur River and Cigar Lake are the world's highest-grade mines; one of three Western UF6 converters
- **Contract book reprices:** realised US$67/lb vs spot ~US$90; Cameco's table implies US$75-93 by 2030
- **Westinghouse:** US$80bn US-government term sheet, DOE US$17.5bn loans, US-Korea US$120bn framework, Poland EPC terms, IPO filed
- **Balance sheet:** net debt C$0.14bn; revolver to 2030; BBB

Why we wait

- **Execution:** flood, Cigar Lake halt, Key Lake outage; 2026 production cut; unit cost C$67-70/lb (raised twice)
- **Expensive on earnings:** ~52x FY27E EPS (ours C$2.05, ~20-25% below consensus)
- **Westinghouse not yet definitive:** term sheets, 20% US-government participation above US$17.5bn, equity calls ~US$500m per project
- **No takeover put:** ENL Act caps holders at 15%/25%

Position sizing: no position at US$77; event watchlist. Accumulate below ~US$60 (probability-weighted +25%), or earlier on a public Westinghouse S-1 showing a valuation of US$25bn+ of equity, or definitive US-government agreements plus named AP1000 FIDs. First review: Q4-26 results and 2027 guidance (~12-Feb-2027).

Cameco at a glance: mine-to-converter integration plus 49% of the leading Western reactor company

What it does

- **Uranium (83% of revenue):** McArthur River/Key Lake (69.8%/83.3%), Cigar Lake (~57.4%), JV Inkai 40%. 2026 production 19.5-20.5 Mlb; deliveries 29.5-30.5 Mlb
- **Fuel services (16%):** Blind River refinery, Port Hope UF6/UO2 conversion, CANDU fuel. 2025 price C$43/kgU (+14%)
- **Westinghouse 49% (Brookfield 51%):** fuel and services for ~half of world reactors; AP1000/AP300/eVinci. Equity-accounted; ~40% of 2025 adjusted EBITDA
- **GLE 49%** (laser enrichment; licence early 2027 [u]); 39 utility customers; ~230 Mlb contracted, ~28 Mlb/yr to 2030
- Widely held; no controller; statutory caps (non-resident 15% each, 25% aggregate votes)

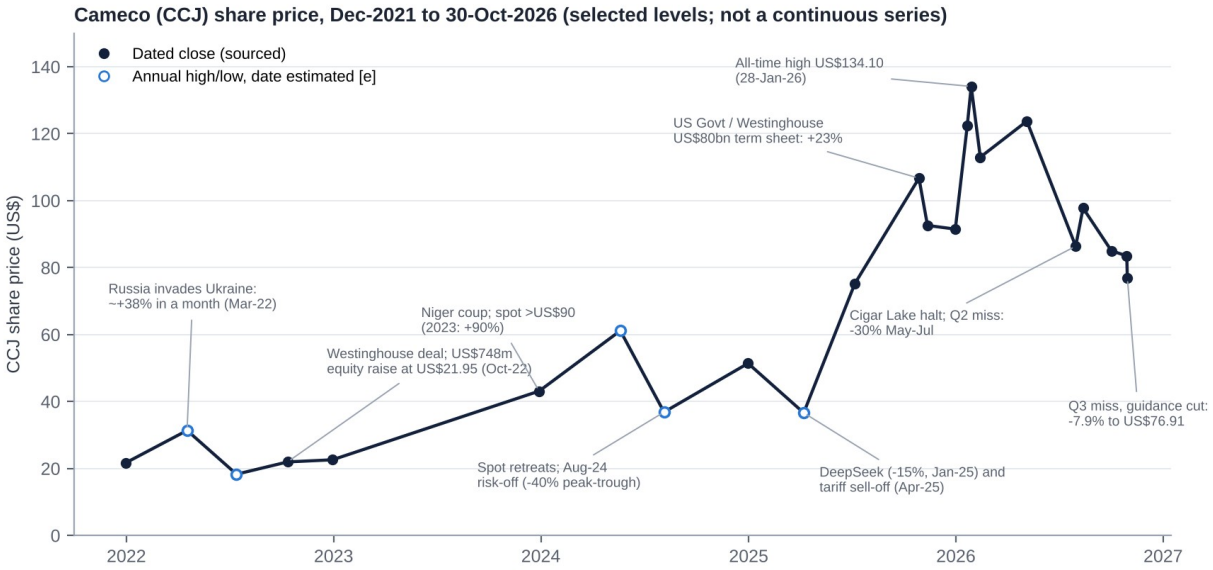
Financial summary (C$m)

	FY23	FY24	FY25	LTM Q3-26	FY26E	FY27E
Revenue	2,588	3,136	3,482	3,479	3,330	3,740
Adj. EBITDA	884	1,531	1,929	1,758	1,595	2,037
- Westinghouse share	53	483	780	638	577	620
Adj. net earnings	383	292	627	496	440	895
Adj. EPS (C$)	**0.88**	**0.67**	**1.44**	**1.14**	**1.01**	**2.05**
Production (Mlb)	17.6	23.4	21.0		~20.0	~22-23
Realised price (US$/lb)	n/a	58.34	62.11	66.64 (9M)	66.5	72.0

FY23 adjusted figures restated (2024 definitions). FY26E-27E are our estimates. Source: Cameco filings via search extracts.

The single most distinctive fact: Cameco sells ~30 Mlb a year but mines ~20 Mlb, under contracts that pay ~US$67/lb while spot is ~US$90. Profits rise only as the contract book reprices (2028-30), but the stock already trades as if that repricing has happened.

Russia (2022), Westinghouse (2022-23), the US$80bn deal (2025), the 2026 operating stumbles



Key catalysts

Date	Event
MAR-2022	Russia invades Ukraine: ~+38% in a month
OCT-2022	Westinghouse deal; US$748m raise at US$21.95
2023	Niger coup; spot >US$90: +90% in the year
JAN-2025	DeepSeek: -15% in a day
MAY-2025	US nuclear executive orders: +10%
OCT-2025	US-government Westinghouse term sheet: +23%
JAN-2026	Spot >US$100; all-time high US$134.10
MAY-JUL 2026	Flood, Cigar Lake halt, Q2 miss: -30%
30-OCT-2026	Q3 adjusted loss, guidance cut: -7.9%

Expensive vs uranium producers, in line with nuclear-services names; the question is which peer group applies

Metric	Cameco	Kazatomprom	Paladin	CGN Mining	Centrus	BWXT	GE Vernova
Mkt cap (US$bn)	33.5	~19.2	~3.0	~2.3	~3.5	~16.0	~236
EV/Sales (current FY)	13.9x	~5.7x [e]	~9.2x	~2.9x [e]	~6.1x [e]	~4.6x [e]	~4.9x [e]
EV/EBITDA	29.1x (FY27E 22.8x)	~8.8x (FY25)	~50x TTM	n/a	~41x trailing	~26x	~32x [e]
P/E	105x (FY27E 52x)	13.6x	n.m.	21.0x	~97x trailing	~37x	n/a
EBIT margin	~18%	43%	~6% [e]	~9% [e]	~9% [e]	~13%	~11% [e]
Net debt/EBITDA	0.1x	~0x	net cash	n/a	net cash	~2x [e]	net cash

Market data Feb-Oct 2026 from secondary sources [u]; re-pull on one date before trading. Cameco on our estimates at US$76.91; USD/CAD 1.38 [e].

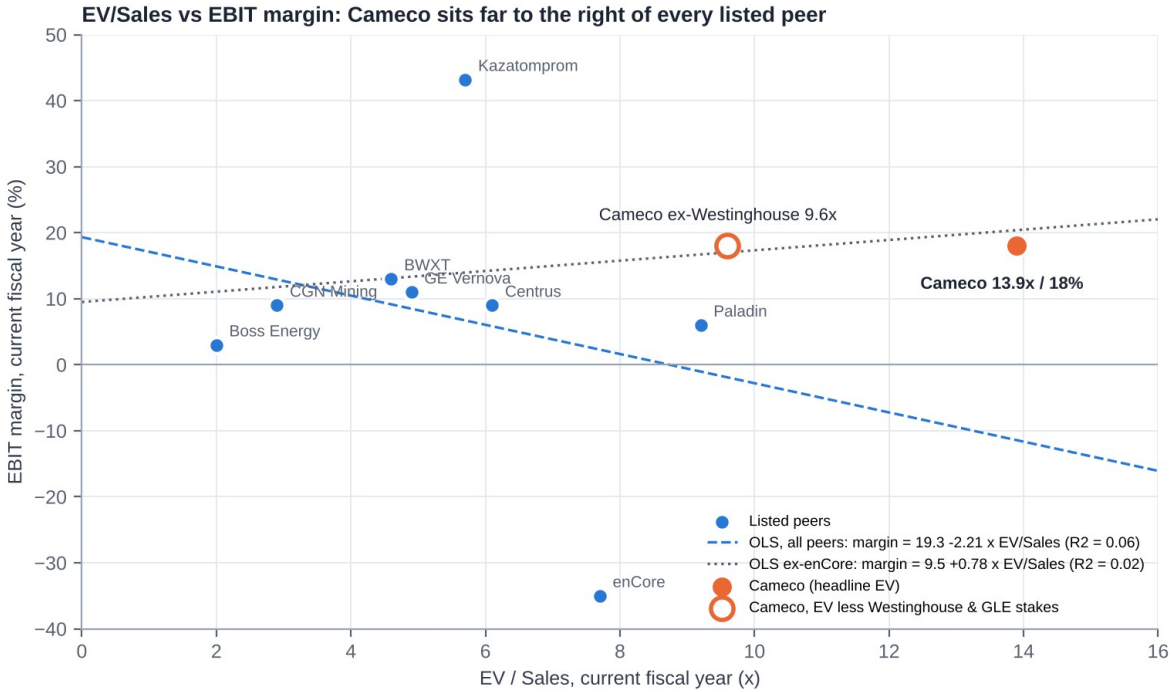
What the comparison shows

- **vs producers:** ~2.5x the peer-median EV/Sales (~5.3x) and ~3x Kazatomprom's EV/EBITDA, at less than half its EBIT margin
- **vs nuclear technology and services:** ~23x FY27E EBITDA is in line with BWXT (~26x) and GE Vernova (~32x). The market values Cameco as a platform
- **vs own history:** 5-yr average forward EV/EBITDA ~60x and P/E ~83x (distorted by 2021-23 troughs); long-run 19x / 40x

The honest counter-read

- On S&P's Feb-26 NAV (US$25.5bn), the market cap is now ~1.3x NAV vs 2.3x in February, the level of the developers [d]
- Current-year margins are depressed by a one-off outage; FY28E EBIT margin ~31% if the book reprices
- Westinghouse (C$14bn+) sits in EV but not in EBIT, so headline EV/EBIT (~44x FY27E) overstates; ex-stakes ~30x

Regression: no peer relationship explains Cameco - it sits far right of every listed peer

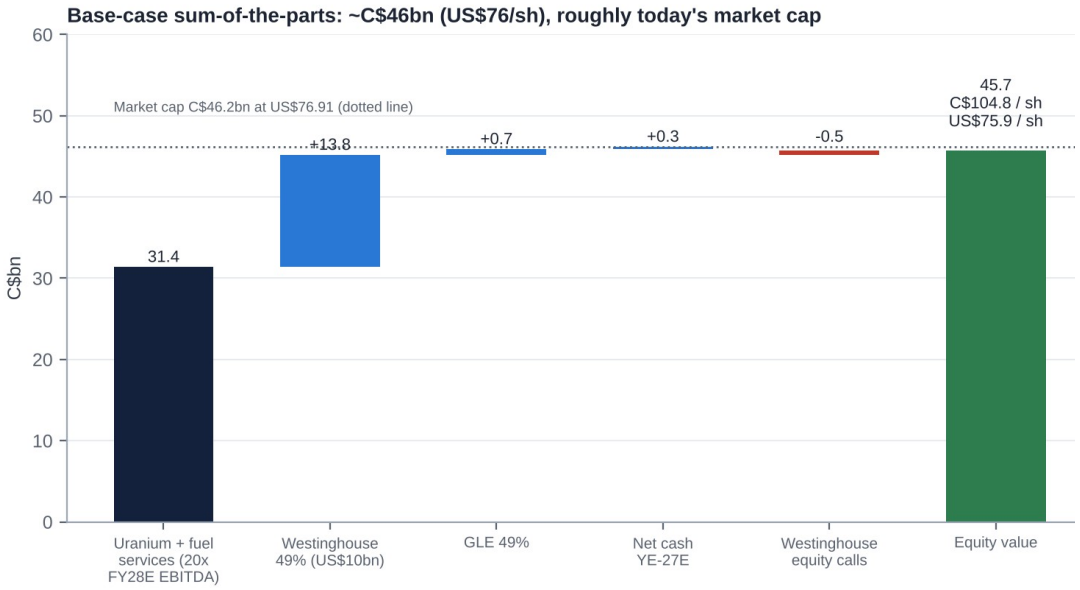


How to read it

- **X = EV/Sales, Y = EBIT margin** (current FY), 8 listed peers; UEC and Energy Fuels excluded (EV/Sales >40x, losses)
- OLS all peers: margin = 19.3% - 2.21 x EV/Sales, **R^2 = 0.06**; ex-enCore R^2 = 0.02: no meaningful relationship
- **Cameco 13.9x / ~18%**: 50% above the highest peer multiple (Paladin 9.2x) at a third of Kazatomprom's margin
- **Ex-Westinghouse and GLE (C$14.5bn): 9.6x**, still at the top of the range
- The premium is a bet on 2028-30 margins (~31% FY28E EBIT) and on Westinghouse

Peer inputs: company filings and aggregators via search [u]; several EV/Sales and margins are our estimates [e].

Sum-of-the-parts: ~C$46bn (US$76/share) in the base case - roughly today's price



Base-case SOTP (C$bn)

Component	Method	C$bn
Uranium + fuel services	20x FY28E EBITDA ex-Westinghouse (C$1.57bn)	31.4
Westinghouse 49%	~27x FY27E EBITDA; US$10.0bn after US-government share	13.8
GLE 49%	Option value [e]	0.7
Net cash YE-27E	FCF less dividends	0.3
Westinghouse equity calls	New-build equity, PV [e]	(0.5)
Equity / per share	**436m shares; USD/CAD 1.38**	**45.7 / US$75.9**

- At US$76.91, the market pays ~20x FY28E EBITDA for uranium and fuel services if Westinghouse = US$10bn (~17x if US$15bn)
- Kazatomprom trades on ~9x; the premium is for jurisdiction, grade and integration

49% of Westinghouse: ~US$2.2bn invested, ~US$5-15bn of value - the IPO decides

49%

Brookfield 51%; equity-accounted; carrying value C$2.93bn (YE-24)

C$427m

Cameco share of adjusted EBITDA in 9M-26 (C$569m 9M-25 incl. Dukovany)

US$80bn

US-government term sheet (Oct-25): 20% of distributions above US$17.5bn

US$17.5bn

DOE conditional loans for up to 10 AP1000s (Jun-26); ~US$500m Westinghouse equity per project

31-Jul-26

Draft S-1 filed confidentially; IPO trigger if ≥US$30bn by Jan-2029

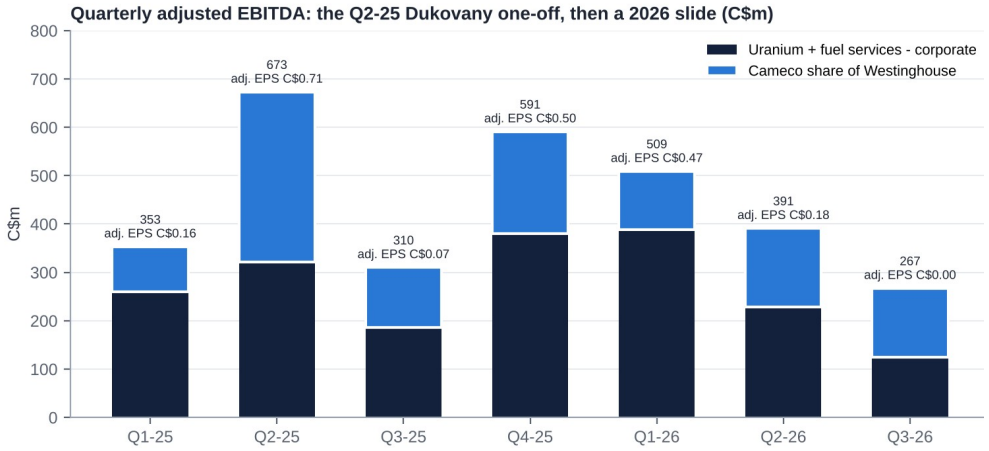
IPO EV/EBITDA	WEC equity (US$bn)	US govt share	Cameco 49% (US$bn)	% of mkt cap
15x	9.8	0	4.8	14%
20x	14.3	0	7.0	21%
25x	18.9	0.3	9.1	27%
~27x (base)	**~20.4**	**~0.6**	**10.0**	**30%**
30x	23.5	1.2	10.9	33%
40x	32.7	3.0	14.5	43%

FY27E Westinghouse EBITDA ~US$0.92bn (100%); net debt ~US$4bn [e]. US government: warrant for 20% of equity above US$17.5bn.

What to watch

- **Public S-1:** first full Westinghouse financials and backlog; the size of any Cameco sell-down
- **Definitive US-government agreements** (still a term sheet one year on); named sites and partners for the 5 DOE-funded projects
- **Korea:** first two AP1000 construction contracts; a 5-10% Korean stake in Westinghouse under discussion [u]
- **Poland:** EPC signing by YE-26; long-lead orders already authorised
- **Risk:** first-of-a-kind overruns (Vogtle ~US$35bn [m]); equity calls up to ~US$1.2bn Cameco share [e]

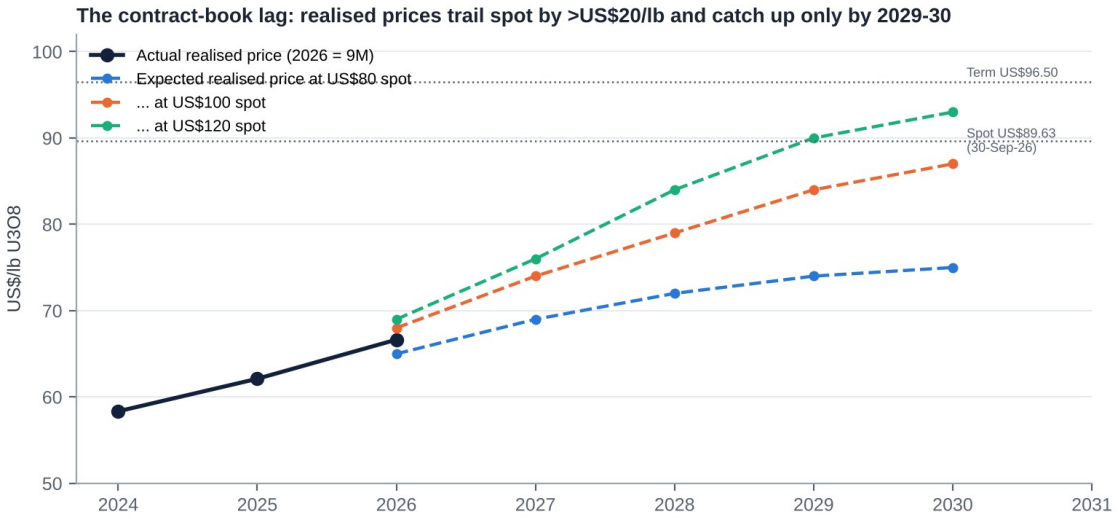
2026 is a step back; the 2027 rebound depends on Key Lake and contract repricing



C$m	FY25A	FY26E	FY27E	FY28E
Revenue	3,482	3,330	3,740	3,900
Adj. EBITDA	1,929	1,595	2,037	2,250
EBIT margin	~22%	~18%	~28%	~31%
Adj. net earnings	627	~440	~895	~1,050
Adj. EPS (C$)	**1.44**	**1.01**	**2.05**	**2.40**
Consensus EPS (C$)		~1.10	2.57-2.98	n/a
Realised price (US$/lb)	62.1	66.5	72.0	77.0
Unit cost (C$/lb)	~63	68.5	65.0	65.5

- **Q3-26:** revenue C$619m vs ~C$725m consensus; adjusted EPS C$0.00 vs ~C$0.32; Key Lake outage cut McArthur River/Key Lake output by half
- **Guidance:** production 19.5-20.5 Mlb (cut); unit cost C$67-70/lb (second raise); capex cut
- **Our FY27E is ~20-25% below consensus;** each US$1/lb of realised price = ~C$43m EBITDA

The contract-book lag: realised prices trail spot by >US$20/lb and catch up only by 2029-30



Source: Cameco price-sensitivity table at 31-Dec-2025 (lowered slightly at Q3-26 after a 'methodology correction'); realised prices from Cameco MD&A.

Why the gap

- **Legacy contracts:** base-escalated prices signed in 2018-22 at US$40-60, and market-related contracts with ceilings; 9M-26 realised +10% vs spot +22%
- **Short position:** ~30 Mlb delivered vs ~20 Mlb mined; the gap is bought near spot (~US$90) and sold at ~US$67-72
- **Correction:** the Q3-26 sensitivity table was lowered after a 'methodology correction' on one contract

What changes it

- New contracts at 'three-digit escalated prices' from 2028
- Replacement-rate contracting (~179 Mlb/yr of needs vs ~116 Mlb signed in 2024-25)
- Production recovery (fewer purchased pounds)

Conservative and well-funded; the call on capital is Westinghouse new build, not debt

C$0.14bn

Net debt (30-Sep-26): cash C$0.86bn; debentures C$1.0bn (2.95% 2027; 4.94% 2031; 5.09% 2042)

C$1.86bn

Liquidity: cash + undrawn C$1.0bn revolver (extended to Oct-2030); DBRS BBB

C$1.1bn

FY25 free cash flow (CFO C$1.41bn - capex C$0.33bn); Q3-26 CFO ~C$3m [u]

0

Buybacks in 10 years; DPS C$0.24 (~10% of FY25 FCF); 34m shares issued in 2022

Capital-allocation record

- **Good:** supply discipline 2016-22; Westinghouse at ~11x EBITDA (now valued ~4-5x cost [u]); Cigar Lake step-ups (2022 C$107m; 2026 TEPCO); CRA tax win (C$300m refund)
- **Poor:** the Oct-22 equity raise at US$21.95 (~8.5% dilution near the cycle low); Inkai cut to 40% (2018) [m]
- **Unclear:** giving the US government 20% of Westinghouse distributions above US$17.5bn for conditional financing
- **Returns:** ROIC ~4-5% (2025) [u], still below the cost of capital

Priorities we would push for

- 1. A capital-return framework (buybacks below SOTP) once FCF approaches ~C$1bn/yr
- 2. Commit to partial Westinghouse monetisation in the IPO, with proceeds returned
- 3. Disclose 100% Westinghouse financials, backlog and look-through leverage
- 4. Tie CEO LTI (470% of salary) to production and unit-cost delivery

No - widely held, statutorily protected, no campaign on record

15% / 25%

ENL Act: max per non-resident / per resident holder; non-resident votes pro-rated to 25%

<1%

Insider ownership (~0.24% [u]); CEO held ~C$45m of shares and units (2023)

1.8%

Short interest (7.9m shares, 2.5 days); no short reports found

98%

Say-on-pay support (2024); directors 98-99.8% (2026)

Why activism is hard here

- No control path: Parliament would have to amend the ENL Act; Investment Canada Act and SOE policy on top
- Index and thematic-ETF register (BlackRock, Vanguard, URA, URNM) with little appetite for a fight
- Board refreshed (4 new directors since 2023; 8 of 9 independent); Chair Catherine Gignac since Dec-23
- The stock is not cheap - an activist's economic case is weak

Governance watch-points

- CEO Tim Gitzel 15+ years; President & COO Grant Isaac is heir apparent; CFO Shockey retiring end-Q1-27
- 2025-26 departures: COO, CLO, Chief Corporate Officer; CMO changed twice
- CEO pay ~C$11.0m in 2025 [u] vs C$7.6m TDC in 2024; LTI target raised to 470%
- Shareholder proposals window: 8-Dec-26 to 5-Feb-27

Not a target without an Act of Parliament - Cameco is the acquirer, not the acquired

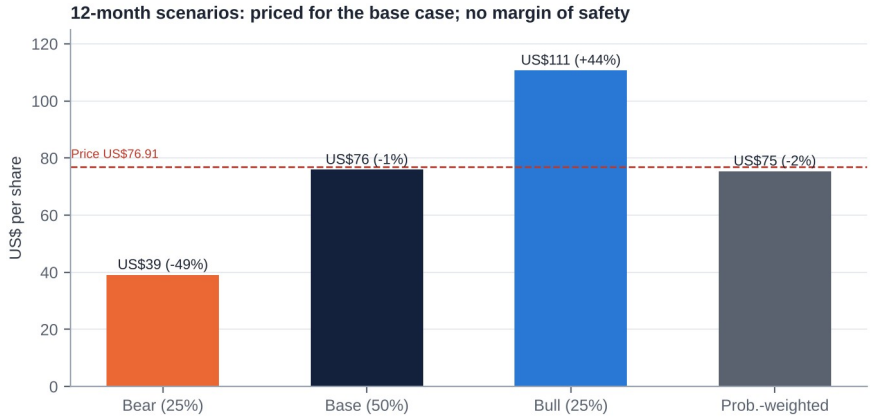
Transaction	Date	Value	Read-across
Brookfield/Cameco - Westinghouse	Oct-22 / Nov-23	US$7.875bn EV; ~11x EBITDA	Platform value
BWXT - Kinectrics	Jan-25 / May-25	US$525m; ~14x EBITDA	Nuclear services
Paladin - Fission (PLS)	Dec-24	C$1.14bn; ~C$12/lb	Athabasca consolidation
UEC - Rio Tinto Sweetwater	Dec-24	US$175m; ~US$1/lb	US ISR
SNURDC/CGN - Kazakh JV stakes	Dec-24	Undisclosed	Chinese SOEs buy Kazakhstan
Cameco - Cigar Lake (Idemitsu; TEPCO)	May-22; Jul-26	C$107m; n/d	Cheap attributable growth
Constellation - Calpine	2025-26	US$26.6bn	Power-sector context

What a control price would look like

- **Legal blocks:** ENL Act caps (non-resident 15% each, 25% aggregate votes; resident 25%), majority-Canadian board, ICA national security, 1987 uranium ownership policy, CNSC change of control
- **Hypothetical only:** a 25-40% premium = US$96-108/share = ~27-30x FY27-28E EBITDA, ~1.7x S&P NAV - far above services precedents (11-14x)
- **Likelier moves by Cameco:** Athabasca consolidation (NexGen C$11bn, Denison C$4.7bn), Orano minority interests, GLE to 75%, a Westinghouse sell-down or top-up
- No takeover premium in our valuation

Roughly symmetric: -49% bear vs +44% bull; probability-weighted ~US$75 - no edge at US$77

	Bear (25%)	Base (50%)	Bull (25%)
Uranium spot / term (US$/lb)	70 / 80	90 / 95	120 / 115
Realised price FY28E (US$/lb); unit cost (C$/lb)	~70; ~70	~77; ~65	~84; ~62
FY28E EBITDA ex-Westinghouse (C$bn)	1.18	1.57	1.87
Multiple on uranium + fuel services	14x	20x	24x
Westinghouse 49% (US$bn)	4.9 (~15x)	10.0 (~27x)	15.0 (~40x)
Equity value (C$bn)	23.5	45.7	66.6
Per share (US$)	**US$39 (-49%)**	**US$76 (-1%)**	**US$111 (+44%)**



Downside support: limited. In the bear case the stock returns to its 2025 lows (US$37-39), which shows the multiple, not the balance sheet, is the risk. **Upside driver:** a Westinghouse IPO at 30-40x plus replacement-rate contracting. **Entry discipline:** below ~US$60 the probability-weighted value offers ~25% upside.

Key Lake restart, FY27 guidance and the Westinghouse S-1 dominate the next three quarters

Q4-2026	**Key Lake restart**	Timing; any further cut to 2026 production (19.5-20.5 Mlb)	HIGH
BY YE-2026	**Poland AP1000 EPC signing**	First European AP1000 EPC (Westinghouse-Bechtel)	MEDIUM
H1-2027	**US-Korea phase-1 contracts; DOE loan closings**	Named AP1000 sites and partners; Westinghouse equity calls	CRITICAL
EARLY 2027	**GLE Paducah NRC licence**	Licence issued; funding plan; Cameco's option to 75%	MEDIUM
~12-FEB-2027	**Q4/FY26 results + 2027 guidance**	2027 production and unit cost; Westinghouse guide; contracting volumes	CRITICAL
BY END-Q1-2027	**New CFO**	Internal or external; capital-markets profile ahead of the IPO	MEDIUM
2027 (OPEN)	**Westinghouse public S-1 / IPO**	100% financials, backlog, valuation, Cameco sell-down	CRITICAL
~MAY-2027	**Q1-27 results; AGM**	Key Lake run-rate; say-on-pay; succession	HIGH
AUG-2027 / 1-JAN-2028	**Kazatomprom 2028 plan; Russian LEU waivers expire**	Supply discipline; Western conversion and SWU tightness	HIGH

What would make this thesis wrong (in either direction)

01 **Saskatchewan operations**

Key Lake recovery slips into mid-2027; McArthur River development lags; Orano's McClean Lake mill fails again; costs stay above C$68/lb

02 **Contracting stalls**

Utilities keep deferring (~100-116 Mlb/yr); Kazakh downflex reverses; NexGen signs contracts ahead of 2030 production; term price stalls ~US$90

03 **Westinghouse slips or overruns**

No definitive US-government agreements; the IPO is deferred; first-of-a-kind AP1000 overruns; equity calls up to ~US$1.2bn

04 **Sentiment and flows**

AI-power trade cools; thematic ETF outflows (URA/URNM); rate shock - a high-multiple stock with beta >1.5 [e]

05 **Policy and sovereign**

Section 232 tariffs on Canadian uranium; Kazakh tax and logistics (Inkai); Saskatchewan royalty changes

06 **Upside risk to a HOLD**

Replacement-rate contracting plus a Westinghouse IPO at 30-40x could re-rate the stock quickly - hence a watchlist with a defined entry, not a short

INVESTMENT COMMITTEE DECISION

Recommendation: HOLD

US$76	~23x	US$10bn	<US$60
12-mo target (-1%)	FY27E EV/EBITDA	Westinghouse 49% (base)	Accumulate below

- Cameco owns irreplaceable Western uranium and conversion assets plus 49% of Westinghouse - the long-term thesis (18-year-high term price, Russian ban, Westinghouse new build) is intact
- But 2026 exposed execution risk (adjusted loss in Q3, production cut, unit cost C$67-70/lb) and our FY27E EPS is ~20-25% below consensus
- At US$77 the market already pays ~20x FY28E EBITDA for uranium and fuel services after US$10bn for Westinghouse - our SOTP equals the price
- No takeover put (ENL Act) and no activist angle; the event is the Westinghouse IPO, likely 2027-28

Sizing & monitoring

No position at US$77. Event watchlist with a defined entry: accumulate below ~US$60, or earlier on a public Westinghouse S-1 implying US$25bn+ of equity, or definitive US-government agreements plus named AP1000 FIDs.

Hard review triggers: 2027 guidance (Feb-27) with production below 22 Mlb or unit cost above C$66/lb; UxC 2026 term contracting below 100 Mlb; spot below US$75.

Track separately: Key Lake restart, Westinghouse S-1 and US-government agreements, Korea and Poland contracts, GLE licence, CFO appointment.